Emotional Capital in the Feeling Economy: Redefining Consumer, Supplier Markets ,and Traditional Industries, while Creating New Opportunities

With the rise of the feeling economy,understanding the effects on the consumer, market and the impacts on the current economic industry structure becomes increasingly essential. This study explores the changes in the consumer market, the impact on traditional industries,and the rising hotpots driven by the development of the feeling economy. We conducted market research and uncovered theories behind each case selected to determine why and how different parties respond to the, changes. Our research has shown that many of the current industries successfully deploy means to grow, and traditional industries could use new technology to survive and even expand. The results suggest the importance of adopting economic changes and how it would benefit different parties.

Background

From the Physical Economy to the Thinking Economy, the production system has been reshaped fundamentally, with technological advancements leading to greater efficiency through capital deepening and creative destruction. As the PQLI (physical Quality of Life Index) increases, many people reach the basic physiological needs outlined at the bottom of Maslow's hierarchy. However, as automation and Al take over physical production and cognitive production tasks respectively, fewer fields would require human labor,rendering a surplus of labor inevitable and intensifying competition. The rise of the"lipstick economy"during economic downturn reflects how Generation Z who focus on personalized and interest-driven purchases can satisfy themselves emotionally. In this context, the concept of "Feeling Economy"emerged, emphasizing the importance of emotional value of products (Roland T.Rust &Huang Ming-Hui, 2020). Therefore, this essay will explore how Feeling Economy changes the consumer and producer market, impacts traditional industry, and bring about new opportunities.

Impact on consumer market

To begin with, consumers shift from rational incentives such as price orfunctionality to the emotional value of products. In traditional economic theory,consumers make purchasing decisions based on the utility they derive from a product, where utility typically refers to the satisfaction or benefit from consuming agood or service. However, in the case of products with emotional value, this concept expands into psychological utility, which is the intangible benefits that a consumer could gain from a product, such as emotional satisfaction, identity reinforcement, or a sense of belonging (Schabram&Pratt, 2017). As mentioned, Generation Z focus more on individual experience and self-pleasuring, making personal satisfaction or social recognition part of their overall utility calculation, which results in a higher **marginal utility** from the emotional fulfillment the product provides. Due to the rule of maximizing utility, the denominator, which is the price, can also increase owing to an increment in marginal utility while consumers will still choose this product, and the fundamental reason is that they are more willing to pay.

$$\frac{MU_x}{P_x} = \frac{MU_y}{P_y}$$

“ ...consumers are only willing to pay for the basic cost. However,when faced with brands that carry ideas and emotions, they show loyalty that goes beyond reason…"said Ramon Laguarta (N.D.), the former global vice president of marketing at Coca-Cola.

Furthermore,when consumer strongly resonates with the psychological value and feel a strong emotional attachment to a product, they begin to see it not only as a physical item, but as part of their identity. This aggravates the endowment effect, a cognitive bias that leads consumers to overvalue products they own or products they strongly identify with compared to products they do not feel emotionally connected to, which further strengthen their willingness to pay for a product with emotional value. Jellycat is a pertinent case as a brand offering adult consumers with toys that soothe individuals' emotions and relieve their stress (Johnson & Smith, 2021). On 11th November 2024, the Jellycat flagship store achieved impressive sales as its newly launched toy, Monroe Scottish Terrier, and all 7,000 pieces were sold in one second at 280 RMB. This price is way higher than the original equilibrium price in the plush toy industry;the added emotional value of Jellycat increases consumers'
willingness to pay.

Consumers increasingly purchase emotional-value-added products, such as limited-edition items or branded collectibles, not just for their physical attributes but also for the identity, status, and personal values that could be provided by products, which are significant for catering to Generation Z's desire for social proof in social media and real life. This behavior mirrors the concept of Veblen goods whose higher prices enhance their appeal with increased

perceived social capital. Generation Z, driven by hedonistic consumption, emphasizes experiences and self-expression, making them willing to pay more for items that protect their belonging to specific social groups' identities. The network effect further amplifies this as the value of products grows when shared or endorsed within social circles, creating a cycle of increased demand and higher prices.

Additionally, the demand for customized unique products is soaring, proving that compelling storytelling as an added value to the product is significant. When consumers believe the story behind one product,the bond is built up, which strengthens brand loyalty ,thus making the demand increasingly inelastic as they are convinced by the resonating story behind the product. Consumers' strong desire for the uniqueness of the product further creates an effect of "fear of missing out", in which consumers may irrationally overvalue custom goods due to cognitive biases like "loss aversion" or the status quo bias, eventually leading to a higher willingness to pay.

This aggravates the endowment effect, which drives the"irrational"consumers to repeat more habitual consumption for the emotional value of a product rather than its practical value. Concurrently,the "lipstick economy" phenomenon-where consumers gravitate toward small and affordable indulgences during economic uncertainty-intersects with this demand for customization, begetting more personalized accessible luxuries which could deliver psychological comfort and satiate indulgence simultaneously. As an epitome,the newly rising brand Popmart produces toy boxes with mystery packages containing different types of collectible designer figures representing different emotions and personalities (Ruiyuan Qi 2021). For example, "Crybaby" commonly represents the type of person who cry to release stress, and Zsiga resembles a rebellious childlike figure.

This branding strategy targets at specific groups of Generation Zwith unique and personalized products, catering to their identity recognition through visualizing their selves, which builds an mental connection between consumers and the brand. This leads to the high customer retention and frequent repeat purchases, which can be demonstrated by the statistics that the sales contributed by Popmart's membership accounted for 92%, and the overall repurchase rate of members was 50%.

Consumer markets supplier side

Many companies have started to reshape their marketing strategies to fit the changing consumer preferences since they realized the increasing trends of lipstick economy,responding to the growing desire for emotional value.

Aligning story to product and service

Current market dynamics demonstrate that brand-aligned or product-aligned storytelling can remarkably influence consumer behaviors.According to a study conducted by Stanford University, a story is 22 times easier to memorize than facts and figures (Aaker.J, 2019).Therefore,through purposefully constructing and marketing the story to consumers,companies can humanize their products and emotionally connect with their values and preferences (Walter&Gioglio, 2018). Based on the narrative transportation theory,the immersion of the story will affect how much emotional value consumers could receive from the product,thus making their purchase less sensible to the price change,which will also increase brand loyalty and price-inelastic demand. Lululemon is are markable story-teller who have told a brand story of living a lifestyle of health and freedom with their quality products.This story has enabled Lululemon to enjoy an annual growth rate of over 11% and 4.4 billion USD sales revenue in 2020 (Lululemon,2021);this data is even incredible for it came out during COVID-19.

Consumer involvement of products

Another strategy employed by companies to boost sales is to allow consumer in producing goods and services, or even allow them to personalize the products. Since the products that give the consumer direct control can create motivation and satisfaction(H.Mai&S.0.Olsen.2016), emotional engagements could increase the consumers' perceived value of the products and make the demand more inelastic.In addition to that,firm can do achieve second-degree price discrimination and entering the niche market (Figure 1). In the example of Nike's "Nike by you" program,the program enabling consumers to design their shoes, the"DIY"shoes are 20%to 30%more expensive than regular Air Force trainers(Nike, 2023). In general, companies can raise the price of personalized products by 10% to 50%.

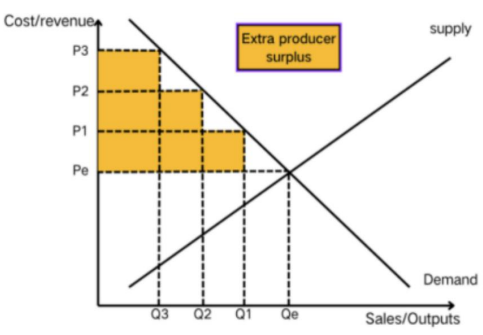


Figure 1

Rise of new consumer hotspots and emerging industries

Feeling Economy has recently driven the rise of new consumer hotspots and several emerging industries, leading to significant economic impacts. As artificial intelligence advances during the age of the feeling economy, it increasingly handles more cognitive tasks in traditional industries, increasing structural unemployment and job insecurity. A study showed that people whose jobs are cognitively demanding are about 2-3 times more likely to suffer from major depressive disorder and anxiety disorder (Woo & Postolache, 2008). In this situation, people' purchasing preferences shift to prioritizing emotional over functional value, causing an outward shift in the demand curve for emotion-driven products like dolls and wellness Apps (Figure 2).

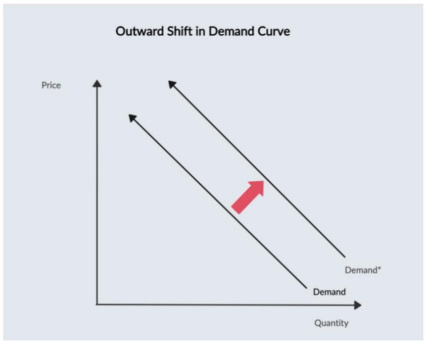


Figure 2

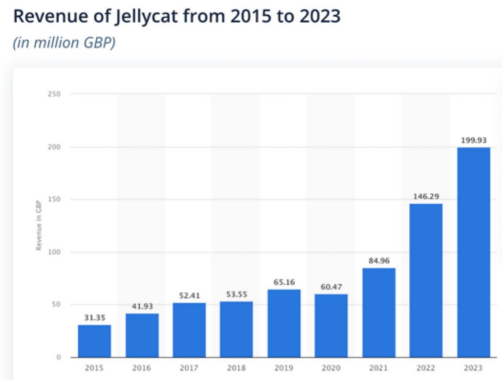


Figure 3

As mentioned before, the British stuffed toy company Jellycat, which has seen an exponential increase in revenue from 2015 to 2023, reached nearly £200 million in 2023(Figure 3) (Statista, 2015). To delve into the reasons behind the rising popularity of Jellycat in the Feeling Economy, our team interviewed adolescents and adults, covering age groups from 13-30-year-olds (Appendix A and B). Interviewees' responses like "When I sleep, I hold on to the doll to feel more secure " (Interviewee A, age 13) demonstrates how emotion-driven consumption can help people cope with insecurities. Another response that "The pop-up stores are very interactive and fun; they (the staff) will pretend to cook the food plushies, which makes me happy" (Interviewee B, age 16) further proves how experiential marketing can boost the emotional value perceived by customers. "It is iconic; there are many collections to choose from, and the "amusing" facial expression is lively, giving the aura of "Please look after me". It is like owning a pet or a baby. I can also hold on to it at work, which makes me feel less anxious ", said Interviewee C who is 28. This highlights the effectiveness of anthropomorphism applied toward products, which builds the bond between customer and product.

The rise of the wellness App industry marks another pertinent example, especially the company "Calm", whose features serve to lower stress. Approximately 51% of student users indicated that Calm helped reduce their short- and long-term stress. (Huberty et al., 2019). In addition, the company employs marketing strategies like the "freemium" model, which allows users to try features for free before subscribing, such as daily meditations, sleep stories, music, and guided meditation. Specifically, the celebrities voiceover sleep stories are extremely popular among clients for the emotional value provided by celebrities' voices. For instance, Mathew McConaughey's sleep story, "Wonder," has been streamed over for 11 million times (Gardner, 2020). Through these marketing strategies, the plushies and the wellness Apps have appealed to considerable customers over the years, capitalizing from the Feeling Economy and causing significant economic impacts.

On the positive side, as both products enhance peoples' mental well-being, they have served to increase peoples' work productivity. Research shows a correlation between workers' happiness and a 13% increase in productivity (Moss, 2023). This increase will lead to a rightward shift of the **aggregate supply curve** (Figure 4) and **production possibilities frontier** (Figure 5), along with a decrease in the unemployment rate. In addition, reduced anxiety at work promotes employees' health. Healthier employees are less likely to be absent due to

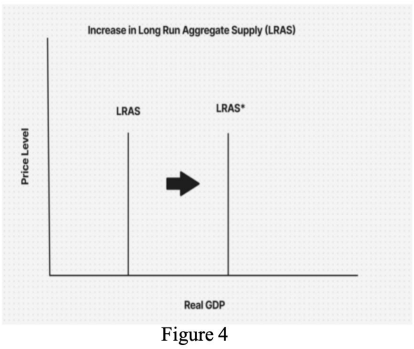


Figure 4

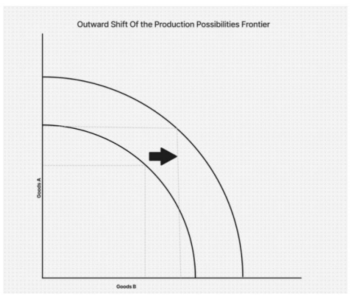


Figure 5

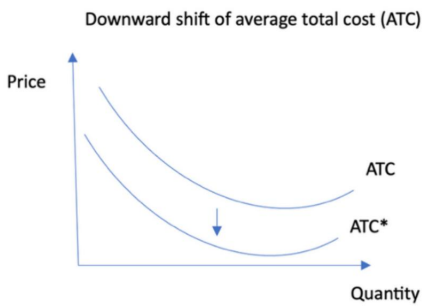


Figure 6

stress-related illnesses, leading to higher attendance and a more stable workforce (Bryan et al., 2021). A more stable workforce means lowered hiring costs and less training investment, which decreases **average total costs** (Figure 6). Unhappiness at work costs the world $8.8 trillion in lost productivity, equal to 9% of global GDP (Pendell, 2022).

On the negative side, both Jellycat and Calm could cause overspending and overreliance. According to the New York Post, a woman spent $5000 on Jellycat toys, buying discontinued or "retired" dolls at $500. She resorts to selling clothes for Jellycats, quoting, "My Jellycats heal my inner child " (SWNS, 2025). The emotional bond people form with plushies induces overreliance, increasing the marginal propensity to consume and making demand more inelastic. Because of this, the demand will not be heavily affected by price, which means the retailers can increase prices to gain more profit, leading to even more consumer overspending. This fuels the boost in crime rates and the number of black markets for Jellycat dolls, with shoplifters stealing 'retired' products to sell on secondhand retailer platforms with highly inflated prices, raking hundreds of dollars for a doll (Mills, 2025). To reduce consumers' overspending on Jellycat, the government can raise consumers' awareness of rational consumption, so that consumers will learn to spend a reasonable amount of money on Jellycats to fulfill their emotional desires.

Additionally, wellness Apps may induce overreliance because of their relatively low prices ($69.99/year) compared to therapy. Overreliance can be a problem for patients with mental health issues who need quick and effective treatment. Harvard Medical School states that the most decisive factor in helping patients combat mental health problems is the relationship with the therapist (Collier, 2022). However, virtual Apps like Calm disregard the importance of a human therapist-patient relationship, which is a crucial step in ensuring treatment success (Ettner et al., 1997) found that a delay of treatment will lead to an income reduction of 18% for women and 13% for men, along with increased levels of morbidity and mortality (Oliveira et al., 2022). To reduce overreliance on wellness apps, the government can introduce truly effective ways of mental illness treatment such as therapy, that is more sustainable in the long-term and more efficient in terms of mental health.

Impact of the Economy on Traditional Industries

The Feeling Economy has revolutionized the accounting services industry by redirecting the industry toward interpersonal and emotionally intelligent consulting instead of technical competence. Before the emergence of the Feeling Economy, accountants obtained their value from executing financial analysis, tax reports, and regulatory compliance work. However, the emergence of AI tools like QuickBooks and Xero have automated core accounting responsibilities, reducing the demand for entry-level positions in data processing (Kmenke, 2025). Many businesses use TurboTax and H&R Block AI tax software programs to replace human tax accountants in typical tax preparation work (White, 2025). Firms like PwC and Deloitte use AI auditing software to detect financial irregularities through automated systems that eliminate human auditors needing to review extensive dataset information (Nagri, 2024). Meanwhile, AI systems have displaced standard bookkeeping tasks, tax preparation, and fraud detection. As such, AI automation and the Feeling Economy reduced demand for traditional accounting work, thus pushing professionals to meet new industry requirements.

However, although AI excels at handling extensive data tasks, it cannot build relationships, understand ethical considerations, and provide emotionally supportive consulting. Hence, human accountants now can establish their worth by offering their clients trust, personalized financial guidance, reassurance, strategic advising, and storytelling capabilities for success in the Feeling Economy. Nowadays, financial clients seek accountants who show competence in addressing both emotional and financial concerns, prompting professional accountants to build soft skills, including emotional intelligence, behavioral finance, and relationship management (Choudhary, 2024). Businesses increasingly value emotional intelligence in financial advising, increasing the demand for these professionals in the Labor Market, leading to higher wages and employment (Figure 7).

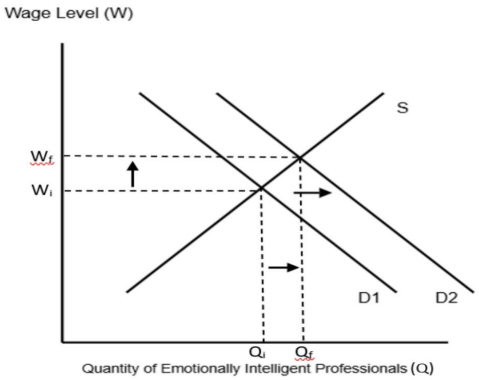


Figure 7

The industry has experienced a fundamental change that requires accountants to find new roles within an economy supported by AI but driven by human emotions. Therefore, rather than a threat, AI could serve as a powerful tool for accountants as long as they are able to provide value that cannot be replaced by AI to their clients. Accountants could take advantage of various training programs and courses that aim to equip them with new skillsets, including emotional intelligence, client relationship management, financial consulting, and human-AI collaboration. These courses include many skills, including empathetic communication and behavioral finance, which helps professionals understand clients' emotional responses to provide personalized recommendations (Behavioral Finance | UCLA Extension, 2001; Empathetic Communication Training Program - Business Training Works, Inc., 2024). The Association of Chartered Certified Accountants (ACCA) adds AI analytical and soft skills training to certification programs, allowing accountants to fuse their technical capabilities with relationship management skills (accaglobal.com, N.D.) Firms should also partner with universities, Coursera, and edX to build specialized courses that educate accountants about financial advising, negotiation methods, and ethical decision-making. It can be expected that accountants who dedicate time to reskilling will become respected financial advisors within the Feeling Economy.

In addition, governments must provide subsidies for accountants during the transition to the Feeling Economy by funding reskilling programs and incentivizing firms to train their staff. Without government intervention, numerous accountants lack of professional communication and emotional abilities would face an extended period of structural unemployment as advanced technology quickly replaces basic accounting procedures. Therefore, governments should create tax cuts and financial aid for businesses implementing employee retraining programs since this would serve to ensure employee competency within the Feeling Economy. For instance, Singapore's Skills Future Initiative offers funding that lets professionals upgrade their accounting and financial advisory skills with AI capabilities while relieving workers from financial struggles during this process (Ang, 2021). Through these schemes, governments could ensure labor market stability and support the accounting profession in an era where emotional intelligence has become just as essential as technical knowledge.

Overall, the Feeling Economy brings both challenges and opportunities to the accounting industry. In the short run, accounting automation leads to structural unemployment to accountants who do not adapt their skills to emotion-led positions. Meanwhile, current businesses will encounter elevated expenses when they reskill their workforce, leading to short-term financial difficulties. However, in the long run, with the joint effort of accountants, companies, schools, and governments, the whole accounting industry will eventually adapt to the Feeling Economy with higher productivity, stronger client relationships, and increased profits. In this process, accountants who successfully master financial storytelling, client trust management, and strategic advising will ensure their career path; companies emphasizing human connection and providing personalized services will achieve better customer contentment and retention rates, thus gaining competitive edge in fierce competition, eventually driving their enduring business success. The challenges and opportunities faced by traditional accounting industry apply to practically all traditional industries. In sum, as AI takes over routine tasks, all traditional industries must focus on skills that AI cannot replace, such as emotional intelligence, communication, and relationship-building, so as to stay relevant in the Feeling Economy.

Conclusion

In this essay, we discussed switching from the thinking economy to the feeling economy due to mental pressure, Generation Z's interest purchases,the development of technology, and the lipstick economy. Nowadays,many suppliers have successfully responded to the changes while even taking advantage of the consumer. Also, the rise of infant industries from feeling economy could bring both advantages and disadvantages to the economy, so government interventions are essential. Although the development of technologies has brought issues to traditional industries, it is also possible for traditional industries firms to use the newest change as their tool to support growth in the future.

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Appendix A: Interview transcript

Interviewer: “Why do you consume Jellycat?”

Interviewee A (J.P, 13 years old) : “When I sleep, I hold on to the doll to feel more secure. ”

Interviewee B (E.K, 16 years old) : “The pop-up stores are very interactive and fun; they (the staff) will pretend to cook the food plushies, which makes me happy. ”

Interviewee C (S.Z, 28 years old): “It feels like it is saying ‘Please look after me’. It is like owning a pet or a baby. I can also hold on to it at work, which makes me feel less anxious.”

Appendix B: Consent Form

Signed consent documentation omitted from this public copy.